ECONOMIC SURVEYS

I. 2. b. 4.

CANADA

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS DECEMBER 1965

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km.)	9,976
Agricultural area (% of the total area)	7.1

Population of major cities (including their metropolitan areas) (1961 census) :

— Montreal	2,109,509
— Toronto	1,824,481

THE PEOPLE

Population (July 1965)	19,604,000
Number of inhabitants per sq. km.	2
Population, annual net natural increase (average 1960-64)	326,000
Net rate of annual increase per 1,000 inhabitants (average 1960-64)	17.3
Labour force, total (Sep 1965)	7,159,000
Labour force in agriculture (Sept. 1965)	625,000
Immigration (annual average 1960-64)	91,400

PRODUCTION

GNP in 1964 (millions of Canadian dollars)	46,963
GNP per head (Canadian dollars)	2,437
Capital investment (private and public) per head (Canadian dollars)	577
Capital investment (private and public) as % of GNP	23.7

Origin of Gross Domestic Product (1964) :

— Agriculture, forestry and fishing	7 %
— Mining and quarrying	4 %
— Manufacturing	26 %
— Construction	5 %
— Services	58 %

THE GOVERNMENT

General government current expenditure on goods and services (average 1960-64, % of GNP)	19
Federal Government current revenue (average 1960-64, % of GNP)	17
Federal direct and guaranteed debt, % of current expenditure (average 1960-64)	27.2

Composition of Parliament :

	House of Commons	*Senate*
Liberals	50 %	60 %
Conservatives	37 %	33 %
Social Credit Rally	3 %	
Social Credit	2 %	
New Democrats	8 %	
Independents		3 %
Vacant		4 %

Last election: November 1965

LIVING STANDARDS

Food consumption, calories per head per day, 1962-63	3,060
Number of passenger cars in use per 1,000 inhabitants (1963)	256
Number of telephones per 1,000 inhabitants (1962)	337
Weekly earnings (industrial average, Canadian dollars, 1964)	82.8

FOREIGN TRADE

Exports :

Exports of goods and services as % of GNP (average 1960-64)	21
Main exports 1964 (% of commodity exports) :	
— Wheat	14
— Newsprint	10
— Lumber and timber	5
— Woodpulp	6
— Aluminium	4
Main customers 1964 (% of commodity exports) :	
— United States	53
— United Kingdom	15
— Other OECD	14

Imports:

Imports of goods and services as % of GNP (average 1960-64)	23
Main imports 1964 (% of commodity imports):	
— Machinery	17
— Motor cars	11
— Petroleum	6
— Electrical apparatus	5
Main suppliers 1964 (% of commodity imports):	
— United States	69
— United Kingdom	8
— European Economic Community	5

THE CURRENCY

Monetary unit: Canadian dollar.

Currency units per U.S. dollar (fixed rate introduced May 1962) 1.081

ECONOMIC SURVEYS BY THE OECD

CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in December, 1965.

CONTENTS

Introduction 5

I Current Trends 5

Output and Employment 8
Prices and Wages 10
Prospects 10

II Balance of Payments 12

Current Situation. 12
Structure and Trend 15

III Economic Policy 20

Federal Budget 20
Monetary Policy 21
Other Policy Measures 24
The Economic Council 25
Stabilisation Policy in 1966 26

IV Conclusions 27

Statistical Annex 31

BLANK PAGE

INTRODUCTION

Economic activity has expanded very rapidly in recent years, mainly stimulated by growing exports and gross fixed asset formation. Unemployment has fallen well below 4 per cent and capacity utilisation rates have been raised. On the whole the pressure of demand would not seem to be excessive, and the rise in prices, although accelerating somewhat, generally remains moderate; but some strain on resources has been felt in construction, and the current external deficit is rising again after declining in previous years. Fiscal and monetary policies have been generally expansionary, although monetary conditions have become rather tighter as a result of very strong credit demand. Some steps have been taken to ease pressures in construction.

Part I of this Survey reviews the main elements underlying the expansion of activity in 1964 and 1965, and discusses prospects for 1966. Part II considers the balance of payments situation, and discusses some of the factors determining the structure and trend of Canada's external account, with its continuing large current-account deficit and net capital inflow. Part III reviews the policy measures taken over the last couple of years and the policy problems likely to face the authorities in 1966.

I. CURRENT TRENDS

In Canada, as in the United States, the expansion that began early in 1961 has now lasted for nearly five years, longer than any previous peacetime upturn in economic activity. Following some signs of slowdown in the middle of 1962, the expansion accelerated in 1964 and continued at a high rate in 1965. Indeed, since the middle of 1963 activity has been expanding rather faster than in the United States and most European Member countries. The expansion should continue in 1966, although at a somewhat lower rate than earlier.

Gross fixed asset formation (public and private) has been the most dynamic demand component in the last two years, rising by 15 per cent in 1964 and 18.5 per cent in 1965[1]; in real terms the increase probably

1. According to the mid-year review of the investment outlook for 1965.

TABLE 1. SUPPLY AND USE OF RESSOURCES

Percentage change in volume from previous year.

	1964 WEIGHTS	1961	1962	1963	1964	FIRST HALF 1965/1964
Gross national expenditure	100.0	2.6	6.6	4.6	6.5	6.2
Personal expenditure	63.9	3.1	4.6	4.3	5.8	5.2
Government expenditure on goods and services	17.0	4.7	3.6	—	4.4	4.3
Private gross fixed capital formation	18.2	—1.7	2.3	6.3	14.0	9.3
of which :						
residential construction	3.9	0.4	5.2	4.6	12.0	1.0
other construction	6.9	3.7	—3.8	4.7	14.7	17.9
new machinery and equipment	7.4	—8.0	7.2	8.7	14.6	6.0
Exports of goods and services	22.7	7.2	5.0	8.6	12.4	3.1
Imports of goods and services	22.8	1.4	2.1	2.8	11.3	8.3

Source: Dominion Bureau of Statistics.

amounted to some 12 and 14 per cent respectively. This strong advance brought the ratio of gross fixed investment to GNP up to nearly 25 per cent. Neither the rate of increase nor the level of investment in the last two years is unprecedented in Canadian post-war experience. In the boom years in the 1950's investment also rose very fast, and the ratio of investment to GNP is still lower than in 1956 or 1957. The recent increase must be seen against the background of relatively weak investment activity, by Canadian standards, in the 1960-1963 period.

The growth in investment has been particularly strong in private non-residential projects and especially in manufacturing, which showed increases of more than 30 per cent in value both in 1964 and 1965. Residential construction rose fast in 1964, influenced in part by the winter incentive scheme; the 1965 mid-year review also pointed to a strong advance this year, although a smaller one than in 1964, but the first half of the year showed only a modest increase in real terms over the high level of a year earlier. In view of the tighter credit and supply conditions that have developed, it is possible that the year as a whole will show a smaller increase in residential construction than suggested by the mid-year survey. The mid-year review pointed to a 17 per cent increase in public outlays on hospitals, schools, streets and other capital items in 1965, following little growth in preceding years. This increase, most of it in construction, together with the strong trend in private investment, led the authorities in August to call for some postponement of building starts in both the public and private sectors, given the tight labour market in this sector already in the first half of 1965. A number of public projects are to be delayed for some 15 months.

Exports constituted an important expansionary element in 1964, partly because of large wheat sales to the Soviet Union and other Eastern European

countries. But the first half of 1965 saw a much smaller increase. Non-farm exports continued to expand at a good year-to-year rate (9.2 per cent), although more slowly than in 1964 (17.1 per cent). But wheat sales fell until recently; renewed wheat shipments to the Soviet Union, likely to amount to over $ 400[1] million over the twelve months from August 1965, provided a strong boost to exports in the second half of the year.

TABLE 2. **PRIVATE AND PUBLIC INVESTMENT 1962 TO 1965**

Per cent change.

	1962 TO 1963	1963 TO 1964	1964[1] TO 1965
Business Gross Fixed Capital Formation	9.1	18.3	18.9
Residential construction	8.2	18.4	14.2
Non-residential	9.3	18.2	20.3
Construction	7.5	18.2	22.4
Machinery and Equipment	11.1	18.2	18.3
Direct Government Outlays	2.7	2.7	17.4
Total Private and Public Investment	7.8	15.3	18.6

1. Mid-year review of investment intentions.
Source: Canadian submission to OECD.

Government expenditure on goods and services in real terms has increased less rapidly than real GNP, with the provinces and the municipalities accounting for most of the expansion. The increase in federal expenditure has mainly consisted of transfer payments.

The rise in the volume of private consumption, although remaining significant, slowed down somewhat in the first half of 1965. The second half of the year may have seen some acceleration. A 10 per cent cut in personal income tax came into effect in July; this raised personal disposable income by some 0.8 per cent in a full year. Moreover, a near-record wheat crop together with large wheat exports provided a strong boost to farmers' income and consumption.

Business inventory accumulation was rather stronger in the first half of 1965 than in 1964. There was a particularly strong increase in the first quarter when stocks were rebuilt after some running-down in the last quarter of 1964 because of strikes. But the ratio of manufacturers' inventories to shipments has generally drifted downward throughout the present expansion. Farm inventories rose in the first half of 1965, reflecting the good agricultural harvest.

1. Unless otherwise stated, all dollars ($) referred to in the text are Canadian dollars.

Output and Employment

In the first half of 1965 real GNP was 6.2 per cent higher than a year earlier; 1964 had shown an increase of 6.5 per cent. Since agricultural output rose in 1965 and fell in 1964, the deceleration in non-farm output was more marked than in total GNP. Construction was one of the few sectors which showed a higher growth rate in 1965 than in 1964. Manufacturing, mining, and the service sector saw some slowdown in relation to the very high rates of growth experienced a year earlier. Nevertheless, the expansion remained significant in 1965, with a further considerable decrease in the margin of unused resources. The rate of capacity utilisation in manufacturing has no doubt increased. The steel industry and construction have been under some pressure, but there is little indication of any generally excessive pressure on industrial capacity.

TABLE 3. VOLUME CHANGES IN OUTPUT

Per cent.

	1963 / 1962	1964 / 1963	FIRST HALF 1965 / 1964
Total non-farm output	*4.7*	*7.0*	*5.9*
Manufacturing	*5.5*	*8.2*	6.7
Mining	2.4	*10.9*	*4.2*
Construction	*1.5*	*9.7*	*12.1*
Total goods (excl. agriculture)	*4.7*	*8.7*	*7.2*
Total services	*4.6*	*5.3*	*4.7*

Source: Canadian submission to OECD.

The rise in output has been accompanied by a strong increase in employment. In the first half of 1965 non-agricultural employment was 4.7 per cent higher than a year earlier. The labour force is rising very fast, mainly reflecting the strong natural increase in the population of working age and higher participation of women in the labour force. Net immigration rose in 1964, but accounted for only about 10 per cent of the rise in the labour force; the proportion rose to 15 per cent in 1965. An accelerated decline in the agricultural labour force has contributed to the rise in employment in other sectors, which has been particularly marked in the service industries.

Unemployment has continued to decline, from an average seasonally adjusted rate of 4.8 per cent in the first eight months of 1964 to one of 4.2 per cent in the corresponding period of 1965 and to about 3.5 per cent in the later months of the year. Shortages of some kinds of skilled labour are now becoming evident in some parts of the country, and the construction industry is under some pressure.

TABLE 4. LABOUR FORCE AND EMPLOYMENT

Per cent change.

	1963 1962	1964 1963	8 MONTHS 1965 1964
Population 14 years of age and over	2.1	2.2	2.4
Labour Force	2.0	2.7	3.0
Agriculture	—1.8	—3.3	—5.2
Non-agriculture	2.4	3.4	3.8
Men	1.2	1.7	2.1
Women	4.1	5.5	5.2
Teenage	3.9	4.0	6.4
Adult	1.8	2.6	2.6
Employment	2.4	3.7	3.8

Source: Canadian submission to OECD.

There are still relatively large differences between unemployment rates in different parts of the country. The downward trend in the national rate has not been accompanied by any marked tendency towards a narrowing of the differences between regional rates. In the first eight months of 1965 unemployment ranged from 2.7 per cent in Ontario to 7.7 per cent in the Atlantic provinces.

TABLE 5. REGIONAL UNEMPLOYMENT

Per cent of civilian labour force.

	1963	1964	SEP.-NOV. AVERAGE[1]	
			1964	1965
Ontario	3.8	3.2	3.2	2.3
Québec	7.5	6.4	6.3	5.1
Atlantic provinces	9.5	7.8	8.4	5.8
Prairie provinces	3.7	3.1	2.9	2.1
British Columbia	6.4	5.3	5.0	4.0
National average	5.5	4.7	4.6	3.5

1. Seasonally adjusted.

Source: Dominion Bureau of Statistics: Labour Force Survey.

The rise in output resulting from higher productivity has been relatively moderate. In the non-farm sectors output per employed person has not increased by much more than 2 per cent per annum in recent years (1961 to 1965). The advance fell to about 1 per cent on a year-to-year basis in

the first half of 1965, reflecting a 3.5 per cent increase in goods-producing industries and a decline of 1 per cent in the service industries. The latter in part reflects the substantial increase in part-time workers. The recent rise in productivity in Canada would seem to have been rather smaller than in many other industrialised Member countries.

Prices and Wages

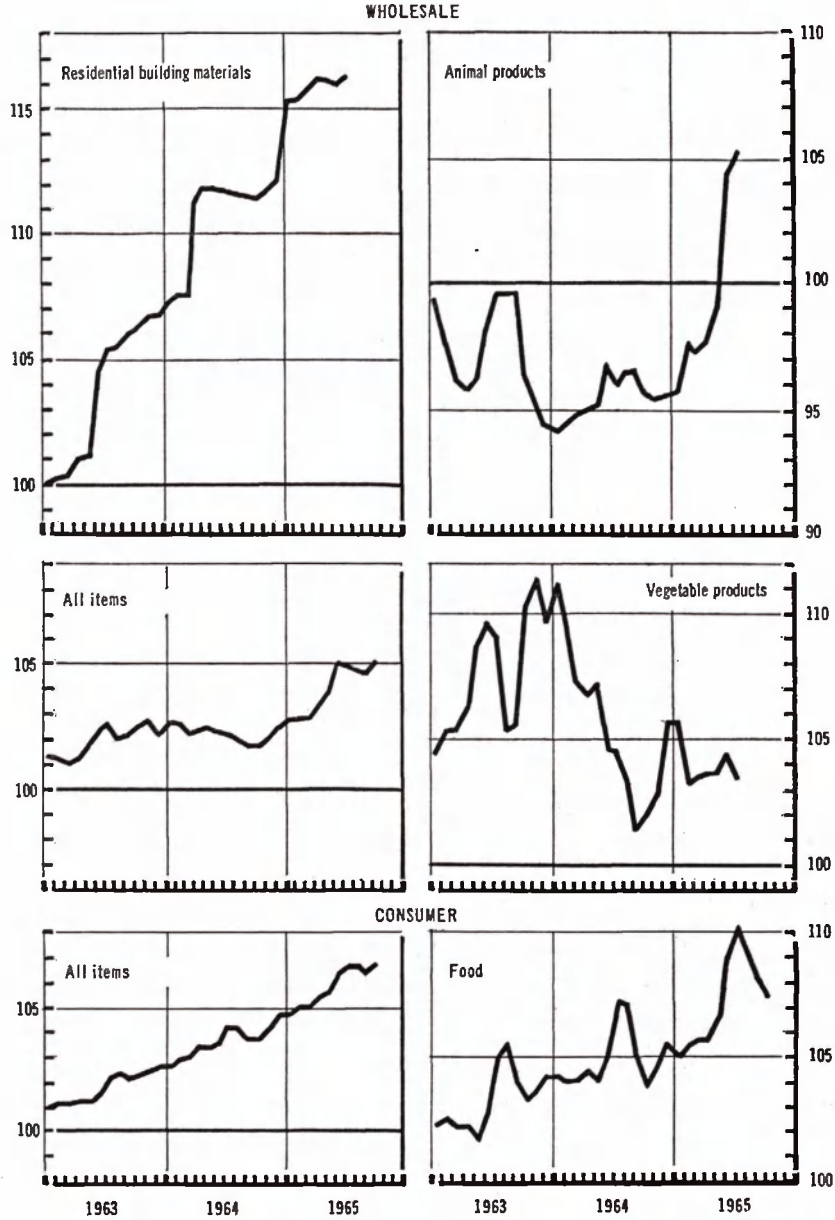
The rise in prices accelerated somewhat in 1965, but still remained generally moderate. The wholesale price index rose by about 1 per cent between the first halves of 1964 and 1965. This was more than in 1964, partly because of extensive drought and shortages of beef and pork in the United States; this pressure was partly offset by declines in other agricultural prices. Building material prices have risen rather fast, partly because of heavy demand pressures and partly due to higher indirect taxation. During the year ending November 1965, the consumers' price index rose by 3.2 per cent, partly because of higher food prices; excluding food prices, the index rose by 2.5 per cent. Hourly earnings in construction rose by 7.5 per cent between the first halves of 1964 and 1965, reflecting the strain on this sector. The rise in hourly earnings in other industries has also accelerated, and for manufacturing as a whole labour costs per unit of output in the first nine months of 1965 were 2.3 per cent higher than a year earlier.

Prospects

On the basis of present trends and policies, the expansion is likely to continue in 1966, although the pace of advance may slow down somewhat. This is related to much less slack now being available in the economy. Exports should be stimulated by continued expansion in the United States which takes almost two-thirds of Canada's merchandise exports. Wheat exports will increase, with a favourable impact on farmers' cash incomes. The tax cut effected in 1965 will continue to lift personal disposable incomes. But the Canada Pension Plan to be introduced at the beginning of 1966 may serve to restrict the rise in private consumption since premiums will be collected but no benefits will be payable in that year; the deflationary impact may represent about 0.6 per cent of personal disposable income. Given the generally favourable outlook for the economy, gross fixed asset formation would seem likely to show a further increase in 1966, but probably a smaller one than in the last two years. Steps have been taken to restrict some public building starts. Residential construction is likely to be affected by tighter credit conditions; a slowdown of the rise in housing starts was already noticeable in the autumn of 1965. The rise of fixed investment in industry may also be somewhat below the very strong advance of 1964 and 1965, although little is yet known about business intentions.

Diagram 1. **WHOLESALE AND CONSUMER PRICES**

MONTHLY AVERAGES, 1962 = 100[1]



1. Converted from 1935-39 (wholesale items excepting building materials) and 1949 bases.

Source: DBS : Prices and Price Indices, Bank of Canada Statistical Supplement.

On this basis the advance in real non-farm output may slow down to something like 4 or 5 per cent in 1966. With a normal agricultural harvest, the rise in real GNP may be somewhat smaller since the wheat crop in 1965 was exceptionally large. Since there will be a strong increase in the labour force, this expansion would not seem likely to increase the general pressure of demand relative to the supply capacity of the economy. Unemployment may remain at about the 1965 level; much, however, will depend on the rate of increase in productivity.

II. BALANCE OF PAYMENTS

The deficit on the current account of the balance of payments had been falling steadily in recent years, in line with the objectives of government policy. But it rose sharply in 1965, and the first annual review of the Economic Council of Canada suggests that, with continued strong advance in economic activity during the rest of the present decade, it could remain high or grow in the years ahead (see page 26). The following paragraphs consider the main factors behind the movement of the foreign balance in 1965, and discuss some of the longer-term underlying elements.

Current Situation

The current account deficit rose to a seasonally adjusted annual rate of about $ 1 billion in 1965, following one of less than $ 0.5 billion in 1964. The deterioration was largely due to a smaller trade surplus; the non-merchandise balance changed little. The increase in exports, exceptionally strong in 1964, slowed down considerably in 1965, while the growth in imports associated with domestic expansion has continued at a high rate, although a slightly lower one than in 1964.

Merchandise exports had grown by 16 per cent in 1964, helped by large wheat shipments to the Soviet Union and other Eastern European countries.There was also a very strong increase in non-agricultural exports. But the rise in exports slowed down considerably towards the end of the year, the wheat shipments under the contract with the Soviet Union coming to an end in the third quarter, and as industrial output in the United Kingdom, some other European countries, and Japan slowed considerably. In the first half of 1965, exports were only 2.6 per cent higher than a year earlier, although non-agricultural exports rose by 9 per cent.

The rise in imports had also accelerated in 1964, reflecting strong domestic expansion and some change in the pattern of demand towards categories with a high import content—cf. the sharp increase in investment

in machinery and equipment. The advance in imports fell off somewhat in the first half of 1965, but it still exceeded the increase in exports, so that the trade surplus fell sharply.

TABLE 6. **BALANCE OF PAYMENTS - CURRENT ACCOUNT**

Millions of Canadian dollars.

	1960	1961	1962	1963	1964	1965[1]
Trade balance	–148	173	177	503	700	146
Merchandise exports	5,392	5,889	6,380	7,082	8,240	8,326
less :						
Merchandise imports	–5,540	–5,716	–6,203	–6,579	–7,540	–8,180
Non-merchandise balance	–1,095	–1,155	–1,051	–1,045	–1,133	–1,134
Gold production for exports	162	162	155	154	145	
Travel	–207	–160	–43	24	–50	
Interest and dividends	–480	–561	–592	–630	–665	
Other	–570	–596	–571	–593	–563	
Current balance	–1,243	–982	–874	–542	–433	–988

1. First half, seasonally adjusted annual rates.
Source: Canadian submission to OECD.

The non-merchandise deficit rose in 1964. Net out-payments on interest and dividends increased, continuing their upward trend, and the travel account fell back into deficit from a small surplus in 1963. The deficit on non-merchandise transactions remained at the 1964 level in the first half of 1965.

In the second half of 1965 exports probably resumed a higher rate of growth, influenced by shipments of wheat under the new $ 400 million wheat contract with the Soviet Union. But imports are also likely to have continued to rise; and with the non-merchandise deficit edging upwards, the current account deficit may have remained at an annual rate of about $ 1 billion.

The capital inflow exceeded the current account deficit in 1964 so that the official foreign exchange reserves rose slightly. The volume of new issues floated in New York increased, and constituted the main financing element in the current account deficit. The delivery of a number of these new issues was held back until it became clear that new Canadian security issues would be exempted from the US Interest Equalization Tax on the understanding that it would not be the desire or intention of Canada to increase her foreign exchange reserves through the proceeds of borrowing in the United States. The inflow of direct investment was relatively small in 1964, and the year as a whole showed a small outflow of short-term funds. But the total net capital inflow was sufficient to

permit final repayment of the 1962 drawing from the IMF and the build-up of a creditor position, as well as a small increase ($ 86 million) in the official gold and foreign exchange reserves.

TABLE 7. BALANCE OF PAYMENTS - CAPITAL ACCOUNT

Millions of Canadian dollars.

	1962	1963	1964 YEAR	1964 1st HALF	1964 2nd HALF	1965 1st HALF
A. Current balance (not seasonally adjusted)	—874	—542	—433	-486	53	—757
B. Long-term capital	668	637	853	137	716	248
of which:						
Direct investment, net	386	145	115	1	114	150
Canadian stocks, net	—126	—236	—128	—86	—42	—158
Canadian bonds:						
new issues	708	970	1102	445	657	574
retirements	—290	—324	—306	—164	—142	—244
trade in outstanding bonds	64	39	77	18	59	19
Other[1]	—74	43	—7	—77	70	—93
C. Short-term capital	361	51	—57	375	—432	438
D. Change in reserves (B+C—A)	155	146	363	26	337	—71
Official holdings of gold and foreign exchange	537	60	86	—65	151	—210
Net position in IMF	—378	86	277	91	186	139
Other	—4	—	—	—	—	—

1. Including foreign securities, Government of Canada loans and subscriptions and Columbia River Treaty transactions.

Source: Canadian submission to OECD.

In the first half of 1965, the direct investment inflow increased considerably, in line with the general rise in investment activity in Canada. The volume of new issues in New York remained high, but net of retirements the inflow on this account was running at a lower rate than the average for 1964. There was a large net inflow of short-term funds, in sharp contrast to the experience of 1964 when there was a net outflow to the Euro-dollar market. There was an outflow of short-term capital to the United States influenced by the US balance of payments measures announced in February, but this was more than offset by an inflow from other countries; this was largely the result of a substantial drawing-down by Canadian banks of their foreign currency assets in the United Kingdom and other overseas countries. Official reserves fell by $ 210 million in the first half of the year; this was partly matched by an improvement of the IMF position, reflecting Canadian contributions to drawings by the United Kingdom and a number of other countries.

In the third quarter, the reserves rose by $ 144 million (reflecting some exchange transactions in anticipation of large-scale wheat deliveries to Russia). The IMF position improved by a further $ 82 million.

In the announcement of its revised balance of payments programme on Dec. 5th, 1965, the US Government made the following statement related to Canadian long-term borrowing in the US capital market :

> "The basic arrangement with Canada regarding Canadian access to the US capital market and the exemption from the Interest Equalization Tax for an unlimited amount of new Canadian security issues will both be continued. In accordance with an understanding between our two governments, the Canadian Government will take action to ensure that the net flows of capital funds to Canada will be combined with an appropriate use of Canada's foreign exchange reserves to meet the total requirement of its balance of payments deficit on current account arising from trade, tourism and other non-capital transactions. This arrangement will enable US investors to buy new issues of long-term Canadian securities on the basis of market considerations while at the same time the US balance of payments is appropriately safeguarded."

In this connection the Canadian Minister of Finance stated that he expected Canada's reserves (including its creditor position with the IMF) to fall in 1966 below the mid-1963 level used as a base line in the July 1963 arrangements. The Minister said that if action should become necessary, " to ensure that the net flow of capital funds to Canada is not in excess of the amount required to meet the needs of the current account balance of payments and keep Canada's reserves within an appropriate range, in order that Canadian borrowers will continue to have full access to the long-term new issue market in the United States, the Canadian Government will be prepared, under the authority of the Financial Administration Act, to buy its own outstanding obligations owned in the United States ". The Minister added that "the Government would also be prepared to borrow in the United States if the net capital inflow was not otherwise enough to meet the current account balance of payments and maintain Canada's exchange reserves at an appropriate level".

Structure and Trend

Few industrialized countries in Europe have any very firm pattern in their external accounts. Their current balances move between surplus and deficit, and their positions as net importers or exporters of capital vary through time. In both Canada and the United States, however, more consistent—and contrasting—patterns of current and capital balances prevail. Over the past decade and a half, Canada's balance of payments has been characterized by:

a) a current account deficit which, following a strong increase in

the 1950's, fell during the first part of the 1960's but moved up again in 1965. In recent years, the trade surplus has not been sufficient to offset a large and growing deficit on non-merchandise transactions of which a substantial part consists of interest and dividend payments;

b) a capital inflow normally sufficient to cover the current deficit, most of it in the form of portfolio capital, direct investment and other long-term funds.

TABLE 8. **BALANCE OF PAYMENTS - STRUCTURE AND TREND**

Annual rates, millions of Canadian dollars.

	1950-54	1955-59	1960-64	1964	1965[1]
Seasonally adjusted:					
Trade balance	61	—427	281	700	146
Non-merchandise balance	—373	—804	—1096	—1123	—1134
of which interest and dividend payments	—300	—414	—586	—665	n.a.
Current account	—312	—1231	—815	—433	—988
Unadjusted current account	*—312*	*—1231*	*—815*	*—433*	*—757*
Long-term capital	584	1079	794	853	248
Short-term capital	—91	151	204	57	438
Overall balance (change in reserves)	181	—1	183	363	—71

1. First half, annual rate.

Source: Dominion Bureau of Statistics: Quarterly estimates of the Canadian Balance of International Payments.

The Economic Council's projection that continued strong expansion during the rest of the present decade is likely to be accompanied by a tendency for the current external deficit to grow sharply unless policy measures were taken to reduce it, implies that the forces that have made for a deficit in the past are likely to remain in the years ahead. These can, in the main, be divided into two groups :

a) those related to Canada's large natural resources, and fast-growing labour force;

b) those related to the close links with the United States.

Canada's large natural resources have meant that, over the years, the rate of investment has been rather higher than in most other Member countries. This was certainly the case in the 1950's. The rate declined after 1957 when the resource boom receded, and remained at a lower level in the following years when considerable slack developed in the economy. But more recently the rate has been rising again, and reached 25 per cent

in 1965. Given continued strong expansion in Canada, the Economic Council projects that the investment rate could rise further in the years ahead to about 27 per cent. The need for a high investment level to accompany the rate of growth in the labour force is increased by the capital-intensive nature of Canada's industrial expansion, the climate, and the fact that a relatively small population is dispersed over a very large area.

TABLE 9. SAVINGS AND INVESTMENT

Per cent of GNP.

	1950-54	1955-59	1960-64
Gross asset formation	23.9	25.9	22.9
Gross savings	22.5	22.1	21.0
Deficit on foreign balance of goods and services	1.4	3.8	1.8

Source: OECD Statistics of National Accounts.

Over most of the period the national savings ratio has also been high, but not sufficient to finance total investment in Canada. This has entailed a deficit on current external account and an inflow of capital. To a large extent the capital inflow has been a dynamic element. Foreign direct investment, much of it undertaken by US corporations expanding their raw material base, has stimulated activity in Canada, thereby increasing import needs and the pressure on the current external balance. Similarly, long-term borrowing by Canadian authorities and corporations has been a prerequisite for the realisation of certain domestic investment projects and the rise in imports directly or indirectly associated with them.

In the 1950's the labour force rose by about 2 per cent a year, rather faster than in most other Member countries. The increase has accelerated in the 1960's and should average 2.7 per cent a year in the 1963-1970 period, several times the growth expected in most European countries. The increase largely reflects the natural expansion of the population of working age; net immigration is assumed by the Economic Council to account for only 15 per cent of the growth.

The combination of a high level of investment and a fast-growing labour force has meant a relatively rapid increase in economic activity and imports. In the 1948-1953 period, real GNP in Canada rose by almost 6 per cent per annum—very fast by most international standards. During the rest of the 1950's the expansion was not particularly strong, but the current account deficit was aggravated by an exchange rate forced up by the capital inflow. In the first half of the 1960's, activity has again risen rapidly (more than 5 per cent a year). Attainment of the potential output

estimated by the Economic Council for 1970 would probably imply a faster rate of growth than in most other OECD countries, with a tendency for the current account deficit to rise.

The links with the United States have certain obvious advantages but, according to many observers, they constitute an important element in Canadas' current external deficit. This is certainly true in the sense of a capital inflow from the United States allowing Canadian investment activity and, thereby, imports to increase. But it has also been argued that US standards have exercised a permanent pull on Canadian wage rates and living conditions, with adverse effects on the competitive position of Canadian industry and the foreign balance. It is difficult to estimate the importance of these factors.

The current account deficit has at times been aggravated by a number of other factors, of which three would seem to be of particular importance. First, as already noted, during the second half of the 1950's and up to 1961 the high exchange value of the Canadian dollar exerted an unfavourable impact on the current account, discouraging exports and encouraging imports. This was the period when relatively high interest rates in Canada attracted a capital inflow which caused the exchange rate to float up. A fixed exchange parity at a lower level (92.5 US cents) was introduced in May 1962.

Second, the Economic Council in its first annual review noted that Canada had been adversely affected by shifts in the structure of world trade. Over the last decade world trade has expanded much faster in manufactures than in the primary products and industrial materials which account for the bulk of Canada's exports. A further factor has been that a very large proportion (about three-quarters) of Canada's exports has continued to go to markets which have not been expanding very fast over much of the last decade—the United Kingdom and the United States. These trends have meant that Canada's share of world trade has declined somewhat and that her terms of trade have deteriorated over the last decade.

TABLE 10. **CANADA'S SHARE OF WORLD[1] EXPORTS, AND TERMS OF TRADE**

	1955	1960	1962	1963	1964
Total Canadian merchandise exports as per cent of world[1] exports	5.7	5.2	5.0	5.0	5.4
Terms of trade (1948 = 100)	106.5	106.5	102.9	99.6	99.1

1. Excluding Sino-Soviet countries, Cuba and Indonesia, for which data are incomplete.
Source: IMF International Financial Statistics.

Third, interest and dividend payments to other countries, the legacy of previous years' capital imports, account for a large proportion of the current account deficit. However, the figures as they appear in balance of payments statistics may give an exaggerated impression of the extent to which these payments represent a burden on the foreign balance. Much of the capital inflow has been used to develop industries which increase exports or supplant imports, thereby strengthening the economy and balance of payments. Moreover, these interest and dividend payments represent income which is transferred to other countries. This means that domestic demand is lower than it otherwise would have been, and this directly or indirectly reduces the pressure on imports. Nevertheless, the large interest and dividend payments would seem to complicate the task of restoring a more balanced current account.

The economic forces discussed above, and particularly Canada's relative abundance of natural resources and fast-growing labour force, may make a deficit on current account appropriate. If an inflow of foreign capital as a supplement to domestic savings can accelerate the development of the country's vast natural resources, this should prove to the advantage both of Canada and other countries. But there are, nonetheless, certain risks involved in gearing the economy to a large external deficit, notably the vulnerability of the economy to changes in international financial markets, of which New York is the most important. The exchange crisis of 1962, although a short-lived episode, illustrated some of the difficulties that may arise if the capital inflow suddenly falls off, is reversed, or appears in jeopardy. And the immediate problems which Canada appeared to be facing when the US Interest Equalization Tax proposal was announced in 1963 provided further evidence of this. In view of these and other implications of a large net capital inflow, an important objective of Canadian long-term policy is to reduce and eventually eliminate the deficit on current account. This may take time, and year-to-year developments may be irregular, but a gradual reduction of the deficit is thought desirable. Government policy to achieve this comprises a wide range of measures which can be summarized under four main headings :

a) Price stabilization; demand-management policy and measures to strengthen the competitive forces in the economy constitute the main instruments used for achieving this.

b) Improving the efficiency of the economy; the most important measures aim at increasing research, education and vocational training, and stimulating industrial rationalisation and specialisation.

c) Encouraging the fast expansion of manufacturing industries likely to benefit from strong expansion of world trade.

d) Specific measures such as the recent automobile agreement with the United States.

III. ECONOMIC POLICY

Fiscal policy has continued to support the expansion. Monetary policy has to take considerable account of the balance of payments, but no serious conflict between internal and external requirements has arisen over the past year. A number of specific measures have been taken or considered to reduce seasonal and structural unemployment, stimulate activity in slow growth areas, and improve the balance of payments position.

TABLE 11. PUBLIC FINANCES - SURPLUS OR DEFICIT BY LEVEL OF GOVERNMENT

NATIONAL ACCOUNTS BASIS

Millions of Canadian dollars.

	1961	1962	1963	1964	1965[1]
Total all governments	—999	—842	—632	—20	240
Federal Government	—455	—544	—292	328	426
Provinces and municipalities	—544	—298	—340	—348	—186

1. First half, seasonally adjusted annual rates.
Source: Canadian submission to OECD.

Public expenditure has been growing fairly steadily, but the rise in purchases of goods and services at all government levels has been less fast than the growth of GNP. With revenues increasing rapidly, mainly as a result of the growing tax base, the financial position of the government sector as a whole has improved markedly, with a surplus appearing in the first half of 1965. The improvement has been particularly marked in the Federal sector, see Table 11.

Federal Budget

In the early months of 1965, when fiscal policy for 1965-66[1] was formulated, the economic outlook remained favourable. But the expansion was expected to slow down somewhat from the high rate achieved in 1964. In particular, it was assumed that the above-average harvest of the preceding years would give way to something closer to the long-term average, and there was no strong expectation that the special wheat sales of 1963-64 would occur again. The first investment survey for 1965 pointed to a large increase in gross fixed asset formation (14 per cent in current prices), but the rise in personal consumption was expected to slow down—a movement likely to become more marked from the beginning of 1966 when the Canada Pension Plan would be introduced with an initial deflationary impact on

1. The fiscal year runs from 1st April to 31st March.

consumers' expenditure. On this basis, and to maintain a rate of growth sufficient to provide employment for the fast-growing labour force and further to reduce unemployment, the Government proposed a 10 per cent cut in the basic personal income tax payable; a complete review of the tax structure would have to await the outcome of the report of the Royal Commission on Taxation and discussions with the provinces. With the tax cut, the budget deficit in 1965-66 was expected to rise to $ 300 million, from $ 83 million in 1964-65; without the tax cut the deficit might have amounted to $ 125 million.

TABLE 12. **FEDERAL BUDGET**

Millons of Canadian dollars.

	1963-64 OUTTURN	1964-65 OUTTURN	1965-66 ORIGINAL ESTIMATE
Budgetary revenue	6,253	7,136	7,350
Budgetary expenditure	6,872	7,219	7,650
Deficit (—)	—619	—83	—300
Net non-budgetary receipts	337	—345	n.a.
Overall cash requirements	282	428	n.a.

Source: Statistical Summary, May 1965, Bank of Canada.

Monetary Policy

Monetary conditions remained relatively easy in 1964, as in the United States. A dominant feature was the influence of the US Interest Equalization Tax. Prior to the passage of the Act in September 1964, with its confirmation that Canadian new issues would be exempt from the tax, about 80 per cent of domestic new financing took place in the Canadian market, and the volume of new issues rose sharply. Nevertheless, throughout this period, interest rates remained stable. This was related in part to the improved prospect of the current account arising out of special wheat sales. In the remainder of the year, the volume of new financing continued at a high level, but the proportion placed in the United States increased considerably. This was accompanied by some decline in interest rates, and the spread between US and Canadian long-term rates gradually narrowed to about 0.80 per cent, from the range of 1.00 to 1.10 per cent prevailing in 1963. In November, when the UK Bank rate was raised from 5 to 7 per cent and the Federal Reserve discount rate from 3.5 to 4 per cent, some uncertainty was created in Canadian markets. To relieve this uncertainty, the Bank of Canada raised its bank rate from 4 to 4.25 per cent. The impact of this was mainly felt in the very short-term market.

The expansion of bank loans also accelerated in 1964. The chartered banks' liquid asset ratio declined somewhat, and their holdings of government bonds were reduced. Nevertheless, the banks' reserve position remained relatively easy.

TABLE 13. MONETARY SURVEY

CHANGES IN PERIOD SHOWN

Millions of Canadian dollars.

	1962	1963	1964	DEC.31-NOV.24 1964	DEC.31-NOV.24 1965
BANK OF CANADA					
Holdings of government or government guaranteed securities	56.8	152.7	29.1	20.3	312.6
Other assets	-68.6	61.1	167.9	1.5	-201.7
Total assets or liabilities	-11.8	213.8	197.0	21.8	110.9
Notes in circulation	87.0	70.8	76.0	-4.7	90.0
Chartered banks' deposits	-3.8	65.8	70.7	68.0	132.3
Other liabilities	-95.0	77.2	50.3	-41.5	-111.4
CHARTERED BANKS					
Loans in Canadian currency (excluding call and day loans)	764	674	1,073	933	1,574
Treasury bills	—30	155	—25	—34	62
Government bonds	—398	419	—198	—172	—52
Other Canadian securities	60	20	32	3	7
Reserves (Bank of Canada deposits and notes)	66	68	7	95	249
Canadian dollar deposits	513	1,400	598	82	1,425
More liquid asset ratio[1] *(end of period)*	34.1	35.4	32.1	32.1	30.1

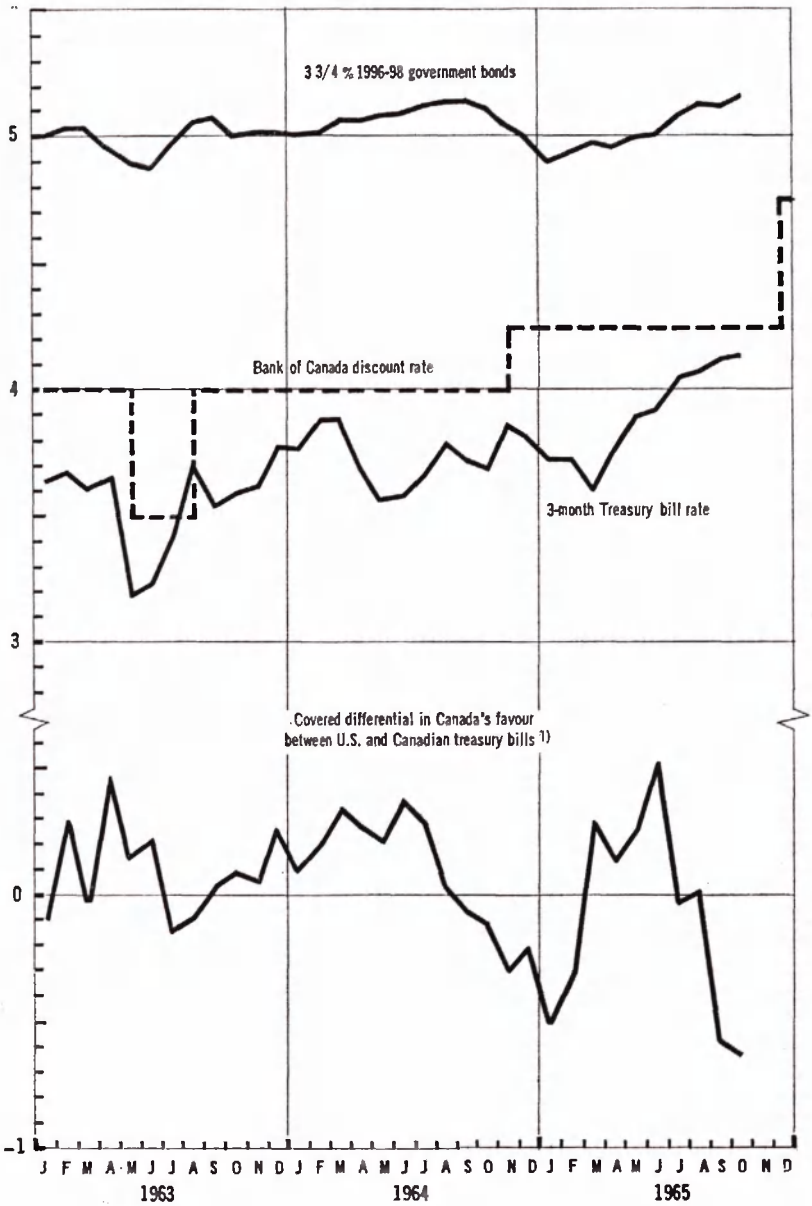
1. Cash, day loans, Govt. of Canada Treasury bills and bonds, call loans and net foreign assets as a percent of major Canadian and net foreign assets.

Source: Statistical Summary, Bank of Canada, December, 1965.

In 1965 the pressure on bank reserves became stronger, mainly as a result of growing credit demand, and interest rates were allowed to rise. From the beginning of the year to end-November, yields on long-term government bonds rose by about 0.4 of 1 per cent. Conventional mortgage rates rose by a similar amount. The spread between US and Canadian rates widened somewhat, although not very much since yields in the United States also increased. Since the spring, short-term interest rates have risen. The spread between US and Canadian rates on a covered basis has moved rather irregularly (see chart). Following the rise in the US Federal Reserve discount rate from 4 to 4.5 per cent in the first week of December, the Bank of Canada raised its discount rate from 4.25 to 4.75 per cent. Cana-

Diagram 2. **INTEREST RATES**

LAST WEDNESDAY IN MONTH



1. Last Friday in month.

Source: Bank of Canada Statistical Bulletin, U.S. Federal Reserve Bulletin.

dian Treasury bill rates rose some 20 basis points immediately, but there was little disturbance generally in bond markets and Canadian/US differentials moved slightly against Canada.

The credit expansion was particularly strong in chartered bank loans. Up to September, bank loans rose at an annual rate of 20 per cent, following an increase of 14 per cent in 1964. With deposits rising rather less than this, the chartered banks have reduced further their holdings of government securities. In absolute terms the total of more liquid assets has not changed much, but the ratio of these to total assets has declined considerably, and has probably begun to be reflected in bank lending policies.

The rise in chartered bank credit in 1965 was influenced by special factors which tended to exaggerate the expansion as compared with earlier years. The US voluntary balance of payments programme led to some decline in the amount of short-term finance company and commercial paper purchased by US residents at a time when an increase might normally have been expected. Moreover, the default in June of a medium-sized finance company entailed stronger demand for bank credit without increasing the total volume of credit in the economy.

Other Policy Measures

The authorities attach great importance to manpower policy. The programme of technical and vocational training has been considerably expanded; in 1964, almost 1 per cent of the labour force participated in training programmes. Existing programmes to facilitate the geographical mobility of labour are being extended; these include grants and loans to cover transportation and resettlement costs. Youth allowances are being extended to persons of 16 and 17 years of age so long as they remain at school or university, and interest-free loans to university students were introduced in 1964.

The programmes to encourage regional development have been strengthened further over the last year. Until recently, business enterprises in development areas could claim accelerated capital cost allowances, whatever their ownership (foreign or domestic). New businesses were also eligible for a three-year tax holiday in the areas of slower growth. Under these arrangements, some 300 firms have either established themselves in development areas or have enlarged their facilities; since July 1963 capital outlays have exceeded $ 350 million and over 9,000 new jobs have been created, exluding the employment generated in and by the construction industry. In June 1965 it was announced that this plan would be changed and that the tax exemption would be replaced by an outright grant based on investment in fixed assets. The criterion for determining designated areas was also changed. Grants are available to manufacturing and processing establishments setting up in designated areas; the total grant paid on any

single plant may run up to $ 5 million. Enterprises already operating in designated areas will be eligible for a grant if they undertake a sizeable investment in new fixed assets which will materially contribute towards increasing output, employment and industrial efficiency. Greater emphasis is being placed on programmes under the Agricultural Rehabilitation and Development Act which include resettlement, rehabilitation, drainage, reafforestation, and other plans to eliminate rural poverty.

A new automobile policy is aimed at increasing industrial efficiency, lowering costs, expanding trade and production and improving the balance of payments. An earlier plan was replaced in 1965 by a programme comprising a trade agreement between Canada and the United States and a series of undertakings to the Canadian government on the part of the motor vehicle manufacturers in Canada. Under the trade agreement, vehicle manufacturers in Canada may import vehicles and original parts free of duty, and parts manufacturers may similarly import original automotive parts. US imports of vehicles and parts from Canada will also be free of duty. This arrangement should encourage greater specialization in individual plants (especially in Canada) and hence help to reduce costs. The manufacturers have undertaken to expand production in Canada as the market grows. As a result of these arrangements, capital expenditures on plant and equipment by the industry are expanding substantially. When certain new facilities are completed, in a few months' time, output of automobiles and parts in Canada is expected to rise still further, and automobile trade between the two countries is expected to rise very sharply as the move towards greater efficiency and specialization accelerates.

Programmes for improving the quality of capital input and for raising technological standards in industry have been maintained and improved. The accelerated capital cost allowances, which may be claimed against new equipment purchases by manufacturing and processing companies with 25 per cent Canadian ownership, and which were due to terminate in June 1965, will remain in force to December 1966. The tax concessions previously in force regarding expenditures on scientific research, under which a firm could claim not only its current research outlays as a business expense but also an additional 50 per cent of the extent to which these exceeded its research expenditures in 1961, are to be replaced by a system of outright grants. Claims under the original plan had risen rapidly and it is anticipated that the new system will lead to further increases in research outlays.

The Economic Council

The Council published its first annual review in 1965. This was devoted to a discussion of prospects and policies relating to longer-term economic growth, in the form of a measurement of potentialities rather than a forecast.

The review estimated that there should be room for an increase in real GNP of 5.5 per cent a year between 1963 and 1970, of which 3 per cent would result from higher employment and 2.4 per cent from increasing productivity. The productivity increase envisaged by the Council is considerably higher than that experienced in recent years. It was assumed that the labour force would grow by 2.7 per cent per annum and that unemployment would be reduced to 3 per cent by 1970. The expansion was thought likely to require an annual increase in private and public gross fixed asset formation of 9 per cent per year in real terms, and that the investment programme would average 27 per cent of gross national product. The ratio of gross national savings to GNP was indicated as remaining at the higher end of the range characteristic of the last four decades. And even so, the estimate of the 1970 potential implied a current external deficit amounting to $ 1.5 to $ 2.0 billion. The Council expressed the opinion that a deficit of this size would be inappropriate as a long-term feature, and advised that policy measures along the lines of those listed on page 19 be taken to improve the foreign balance.

Stabilisation Policy in 1966

The amount of idle capacity in the economy is quite low. The balance between supply and demand is closer than it has been for a number of years. It is possible that there may be some slowdown in the rate of expansion in 1966. The strained conditions in the construction industry may ease as a result of the measures taken by the authorities and a probable slackening of residential construction. A tightening of demand-management policy may therefore not be called for. On the contrary, with the labour force growing fast, some stimulus to activity could be required, depending on the relative balance between demand and supply forces. Further declines in unemployment will depend increasingly upon special measures relating to manpower and regional problems.

There seem good grounds for hoping that there will be no serious conflict between internal and external needs with regard to monetary policy. This might have been the case if Canada, for internal reasons, had felt obliged to tighten credit conditions relative to the United States, and this had led to an undesirably large capital inflow. On the other hand, since a capital inflow sufficient to cover the current deficit has to be secured, there may not be much scope for a relaxation of monetary restraints, given the somewhat tighter conditions that have developed in the United States. Thus, if stimulus should be needed, it would very largely have to take the form of fiscal measures. It may become important to be able to make adjustments in the Federal budget in the course of the fiscal year.

The acceleration of the rise in prices and wage costs, although moderate, will have to be watched. As a fuller utilisation of resources is achieved,

pressure on costs and prices is likely to increase. The maintenance of price stability may therefore require vigorous action to strengthen the competitive forces in the economy, and further efforts to increase occupational and geographical mobility of labour. The price-wage guideposts of the U.S. Administration, and the efforts made to get them observed, have apparently been an important factor in the continued stability of prices in the United States. Similar policies might also be useful in Canada, where conditions are not very different from those prevailing south of the border.

IV. CONCLUSIONS

Economic developments in Canada have been favourable in recent years; activity has been expanding fast, and unemployment declining significantly. An essential condition for this has been the strong expansion in the United States. But Canadian policies have played an important role. Demand-management has been well adapted to the needs of the economy, and a wide range of selective measures has been taken to stimulate growth and efficiency. The activities of the Economic Council point to further improvements in policy-making in the years to come.

It is difficult at this point to foresee what, if any, major changes in stabilisation policy would seem to be required in 1966. The margin of unused resources has been largely eliminated, but the high rate of increase in the labour force is expected to continue, and this will require a relatively high rate of growth in the economy if unemployment is not to increase. The prospects are for continued expansion, although probably at a lower rate than in the last two years. At the same time, the maintenance of price stability will become more difficult now that a fuller utilisation of resources has been achieved. Manpower policies assume more importance in this context. As a supplement to existing policies, the authorities may wish to consider whether the elaboration of price-wage guideposts would constitute a useful measure in Canadian conditions.

The persistent deficit on the current account of the balance of payments is an important feature of the Canadian economy. There are strong economic forces underlying it, the most important probably being Canada's large natural resources and the fast growth of her labour force, which tend to entail a high level of investment, with pressure on the foreign balance. This was the case in the early post-war period, and has reappeared in the last few years. The Economic Council's first annual review suggests that the years ahead may see a rather higher rate of investment and faster growth than in most other Member countries, and a tendency for the current exter-

nal deficit to grow substantially. A current deficit may well be appropriate for Canada under present circumstances. But it involves certain risks, particularly if it is allowed to become large in relation to the domestic economy and external monetary reserves. For these and other reasons an objective of long-term economic policy is to reduce Canada's reliance on foreign capital and, eventually, to eliminate the current deficit.

STATISTICAL ANNEX

BLANK PAGE

Table I. GROSS NATIONAL PRODUCT AND EXPENDITURE

Annual figures and annual rates, seasonally adjusted

$ million.

	Personal consumption expenditure	Business fixed capital formation: Total	Business fixed capital formation: Residential construction	Business fixed capital formation: Non-residential construction	Business fixed capital formation: Machinery	Value of physical change in investment	Government expenditure on goods and services	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
	Current prices										
1960	23,540	6,692	1,443	2,577	2,672	410	6,769	7,008	8,172	40	36,287
1961	24,466	6,635	1,458	2,683	2,494	30	7,236	7,631	8,542	15	37,471
1962	25,913	6,960	1,577	2,638	2,745	557	7,710	8,259	9,082	244	40,561
1963	27,416	7,591	1,707	2,835	3,049	491	8,024	9,077	9,601	182	43,180
1964	29,431	8,968	2,021	3,343	3,604	380	8,607	10,440	10,868	45	47,003
1964 1st quarter	28,852	8,944	2,176	3,164	3,604	452	8,564	9,996	10,840	—48	45,920
2nd —	29,040	8,828	1,908	3,244	3,676	448	8,524	10,604	10,772	12	46,684
3rd —	29,684	8,720	1,872	3,376	3,472	388	8,544	10,756	10,784	84	47,392
4th —	30,148	9,380	2,128	3,588	3,664	232	8,796	10,404	11,076	132	48,016
1965 1st quarter	30,512	10,052	2,156	3,948	3,948	1,208	9,120	10,552	11,520	116	50,040
2nd —	31,344	10,272	2,184	4,028	4,060	972	9,344	10,808	11,852	32	50,880
3rd —	32,120							11,244	12,336		52,100
	Constant (1957) prices										
1960	22,402	6,231	1,323	2,404	2,504	397	6,268	6,884	8,020	38	34,200
1961	23,105	6,125	1,328	2,494	2,303	29	6,562	7,379	8,132	13	35,081
1962	24,157	6,265	1,397	2,399	2,469	524	6,795	7,751	8,306	225	37,411
1963	25,185	6,657	1,461	2,512	2,684	461	6,797	8,418	8,538	165	39,145
1964	26,634	7,592	1,636	2,881	3,075	353	7,099	9,463	9,503	40	41,678
1964 1st quarter	26,252	7,684	1,796	2,764	3,124	444	7,140	9,128	9,472	—44	41,132
2nd —	26,316	7,476	1,552	2,808	3,116	424	7,076	9,648	9,364	12	41,588
3rd —	26,812	7,360	1,504	2,904	2,952	336	6,996	9,672	9,436	76	41,816
4th —	27,152	7,848	1,692	3,048	3,108	208	7,184	9,404	9,740	116	42,176
1965 1st quarter	27,384	8,248	1,692	3,288	3,268	1,140	7,372	9,584	10,068	100	43,760
2nd —	27,904	8,316	1,688	3,280	3,348	916	7,456	9,772	10,332	28	44,060

Source: National Accounts Income and Expenditure 1964 and 2nd quarter 1965.

TABLE II. INDUSTRIAL PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

Seasonally adjusted.

	1961	1962	1963	1964	1964				1965		
					1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
1. INDICES OF INDUSTRIAL PRODUCTION *(1960 = 100)*:											
All industries	103.3	111.1	117.0	127.4	126.1	126.5	127.2	130.5	134.2	134.8	138.2
Mining	105.4	113.5	116.2	128.9	130.1	128.5	125.8	132.4	136.7	134.0	137.3
Manufacturing — durables	101.4	112.7	120.2	131.6	131.3	130.5	133.7	133.5	140.9	143.1	146.7
Manufacturing — non-durables	103.4	108.6	113.4	121.5	119.0	120.8	121.1	125.1	125.2	125.9	128.9
2. NEW RESIDENTIAL CONSTRUCTION *(thousands, annual rates)*:											
— Starts	126	130	149	166	163	152	166	183	158	174	166
— Completions	116	127	128	151	172	157	149	153	165	168	143
3. EMPLOYMENT AND UNEMPLOYMENT:											
Civilian labour force *(thousands, monthly averages)*	6,521	6,615	6,748	6,933	6,898	6,925	6,942	6,957	7,084	7,140	7,147
Non-agricultural employment *(thousands, monthly averages)*	5,375	5,565	5,726	5,979	5,910	5,945	6,011	6,046	6,195	6,221	6,290
Employment indices *(1949 = 100)*:											
— mining	116.5	116.4	114.4	115.5	111.7	115.4	118.8	116.2	118.6	122.9	124.4
— manufacturing	108.9	113.3	116.4	121.9	117.7	121.4	125.1	123.3	123.1	127.4	128.8
— durables	110.6	117.0	121.5	129.0	124.9	128.9	130.8	131.5	133.4	138.2	139.0
— non-durables	107.5	110.2	112.1	115.9	111.7	115.1	120.3	116.4	114.5	118.4	120.4
— public utility operation	138.3	141.6	144.0	146.5	139.5	146.5	152.7	147.2	143.9	150.3	151.6
Unemployment (including workers on temporary lay-off, thousands)	469	391	373	324	326	336	331	303	282	308	285
Unemployment (percentage of civilian labour force)	7.2	6.0	5.5	4.7	4.8	4.9	4.8	4.4	4.0	4.3	4.0
Average weekly hours worked in manufacturing	40.6	40.7	40.8	41.0	41.0	41.0	41.0	41.1	40.9	40.9	
4. RETAIL SALES *($ million, monthly averages)*	1,398	1,491	1,576	1,672	1,660	1,653	1,686	1,697	1,716	1,782	1,819
5. ORDERS AND INVENTORIES IN MANUFACTURING *($ million)*											
— new orders *(monthly average)*	2,053	2,261	2,430	2,664	2,631	2,643	2,650	2,730	2,782	2,830	2,860
— unfilled orders *(end of period)*	2,031	2,111	2,333	2,692	2,413	2,489	2,584	2,686	2,807	2,946	3,037
— total inventories *(end of period)*	4,581	4,799	4,932	5,153	4,929	4,971	5,080	5,134	5,227	5,347	5,513

Source: Canadian Statistical Review (DBS), Bank of Canada Statistical Summary, OECD Main Economic Indicators.

TABLE III. PRICES, WAGES AND FINANCE

	1961	1962	1963	1964	1964				1965		
					1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
1. Prices *(1960=100)*:											
Consumer prices, all items	100.9	102.1	103.9	105.8	105.0	105.6	106.2	106.3	107.2	108.0	108.9
of which: food	101.3	103.0	105.8	107.6	106.7	107.2	108.2	107.5	108.2	109.7	111.5
Wholesale prices, all items	101.0	103.9	105.9	106.3	106.5	106.4	106.0	106.1	106.8	108.1	108.8
of which — raw materials and semi-manufactures	101.4	106.8	108.3	107.7	108.4	107.5	107.0	107.9	108.8	109.9	110.1
— manufactured products	101.0	102.8	105.0	105.9	106.0	106.2	105.8	105.6	106.2	107.5	108.4
— farm products	101.9	106.3	104.3	100.3	101.9	104.1	99.5	95.7	98.9	103.9	105.7
2. WAGES AND PROFITS:											
Hourly earnings in manufacturing (1960=100)	103	106	110	114	112	113	115	115	117	119	120
Corporation profits before tax *($million, quarterly rates, seasonally adjusted)*	850	910	1,000	1,145	1,149	1,117	1,094	1,220	1,235	1,227	
3. BANKING *($million, end of period)*:											
Chartered banks:											
— Canadian dollar deposits	14,186	14,699	16,099	16,697	15,922	16,148	16,077	16,697	17,008	17,694	18,080
of which: personal savings deposits	7,618	7,932	8,443	8,935	8,760	8,811	9,046	8,935	9,318	9,410	9,739
— Liquid assets[1]	2,345	2,362	2,586	2,682	2,613	2,708	2,655	2,731	2,776	2,807	3,034
— Average liquid asset ratio (%)[1]	18.31	17.10	17.96	17.20	17.23	17.47	16.74	17.15	16.97	16.40	16.95
— Holdings of Govt. of Canada direct and guaranteed bonds	2,639	2,241	2,660	2,462	2,700	2,575	2,482	2,462	2,529	2,476	2,345
— Loans	6,878	7,702	8,332	9,410	8,459	8,932	8,992	9,410	9,787	10,455	10,853
Currency outside banks	1,959	1,994	2,084	2,254	2,046	2,126	2,137	2,254	2,170	2,297	2,325
4. INTEREST RATES (per cent, end of period):											
3-month Treasury Bill yield	2.99	3.91	3.78	3.82	3.88	3.59	3.73	3.82	3.62	3.93	4.13
Govt. of Canada 3 3/4 % 1996-98 bond yields	4.95	5.07	5.02	5.00	5.07	5.10	5.15	5.00	4.98	5.01	5.12
5. MISCELLANEOUS:											
National Housing Act Mortgage Loans *($ million)*	724	584	687	729	74	188	179	288	91	180	
Industrial share prices *(1960=100)*	128	123	132	161	145	160	167	173	180	183	173
Security issues *($million)*	2,766	2,746	2,705	3,164	472	891	62	1,740	331	545	158
of which : Govt., provincial & municipal	2,144	1,740	2,022	1,780	166	327	3	1,285	—116	168	6
Corporate bonds	332	422	558	713	76	251	12	374	174	365	214
Corporate stocks	244	337	—53	324	—40	173	84	107	77	129	74

1. Annual figures are daily averages for year, quarterly figures are daily averages of last month in each quarter.

Source: Canadian Statistical Review (DBS), Bank of Canada Statistical Summary, OECD Main Economic Indicators.

TABLE IV. GOVERNMENT REVENUE AND EXPENDITURE 1961-65

$ *million.*

	FEDERAL GOVERNMENT					PROVINCIAL AND MUNICIPAL GOVERNMENT				
	1961	1962	1963	1964	1965[1]	1961	1963	1964	1964	1965[1]
Tax revenue	5,738	5,884	6,124	7,027	7,546	3,456	4,224	4,602	5,157	5,720
Contribution to social insurance and government pension funds	510	518	533	558	576	277	293	305	334	342
Investment income	409	450	497	547	556	725	790	836	972	1,046
Transfers from Federal Government	—	—	—	—	—	1,128	1,134	1,165	1,254	1,490
Total revenue	6,657	6,852	7,154	8,132	8,678	5,586	6,441	6,908	7,717	8,598
Expenditure on goods and services	2,982	3,024	2,927	3,042	3,182	4,277	4,685	5,149	5,565	6,050
Transfer payments to persons and subsidies	2,227	2,372	2,405	2,513	2,532	1,452	1,590	1,737	1,963	2,160
Transfers to other levels of government	1,128	1,134	1,165	1,254	1,490	—	—	—	—	—
Interest on public debt	786	865	935	995	1,048	388	444	479	537	574
Total expenditure	7,123	7,395	7,432	7,804	8,252	6,117	6,719	7,365	8,065	8,784
Surplus	—466	—543	—278	328	426	—531	—278	—457	—348	—186

1. First six months, seasonally adjusted at annual rates.

Source: DBS - National Accounts - Income and Expediture 1964 and second quarter 1965.

TABLE V. FOREIGN TRADE AND PAYMENTS

	1961	1962	1963	1964	1964				1965		
					1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.
IMPORTS *(Canadian $ million)*:											
Total	5,771	6,258	6,539	7,492	1,655	2,049	1,819	1,966	1,841		
of which: from the United States	3,864	4,300	4,445	5,166	1,203	1,409	1,222	1,331	1,359		
EXPORTS *(Canadian $ million)*:											
Farm and fish products	1,301	1,264	1,464	1,844	398	498	517	431	333	368	
Forest products	1,623	1,701	1,824	2,009	434	523	527	524	461	534	
Metals and minerals	1,861	2,063	2,169	2,493	511	634	696	652	547	691	
Other	1,110	1,319	1,523	1,958	441	496	483	539	510	576	
Total[1]	5,896	6,348	6,980	8,304	1,784	2,151	2,223	2,146	1,851	2,169	
of which: to the United States	3,217	3,745	3,913	4,437	964	1,129	1,163	1,181	1,082	1,277	
Visible trade balance (on payments basis)	173	177	503	700	35	150	354	161	—41	—32	
Volume of imports *(1960=100)*	102	106	107	121	105	130	118	128	118		
Volume of exports *(1960=100)*	109	113	124	145	126	150	154	148	128	149	
Average value of imports *(1960=100)*	103	108	112	113	115	115	113	112	114		
Average value of exports *(1960=100)*	101	104	105	107	105	106	107	108	107	108	
BALANCE OF PAYMENTS *(Canadian $ million)*:											
Current balance	—982	—874	—542	—433	—338	—148	214	—161	—397	—360	
of which: with the United States	—1,386	—1,122	—1,162	—1,655	—549	—512	—115	—479	—587	—539	
Direct investment in Canada	520	495	280	255	69	44	52	90	65	120	
Portfolio investment	304	291	471	736[2]	—18	186	139[2]	429	100	51	
Other capital movements	448	243	—63	—195	245	—14	—249	—177	160	190	
Official holdings of gold and U.S. dollars *(U.S. dollars, end of period)*	2,056	2,539	2,595	2,674	2,466	2,534	2,625	2,674	2,554	2,480	2,614
Exchange rate Canadian cents per U.S.$ (average noon rate)	101.32	106.89	107.85	107.86	108.03	108.05	107.89	107.50	107.69	108.03	107.94

1. Including re-exports.
2. Including Columbia River Treaty ($54 million).

Source: Bank of Canada Statistical Summary, OECD Main Economic Indicators.

OECD SALES AGENTS
DÉPOSITAIRES DES PUBLICATIONS DE L'OCDE

ARGENTINA - ARGENTINE
Editorial Sudamericana S.A.,
Alsina 500, BUENOS AIRES.

AUSTRALIA - AUSTRALIE
B.C.N. Agencies Pty, Ltd.,
62 Wellington Parade, East MELBOURNE, C.2.

AUSTRIA - AUTRICHE
Gerold & Co., Graben 31, WIEN 1.
Sub-Agent : GRAZ : Buchhandlung Jos. A. Kienreich, Sackstrasse 6.

BELGIUM - BELGIQUE
N.V. Standaard-Boekhandel,
Huidevettersstraat 57, ANVERS.
BRUXELLES : Librairie des Sciences (R. Stoops), 76-78, Coudenberg.

BRAZIL - BRÉSIL
Livraria Agir Editôra,
Rua Mexico 98-B, RIO DE JANEIRO.

CANADA
Queen's Printer - Imprimeur de la Reine,
OTTAWA.
Prepayment of all orders required.
Les commandes sont payables d'avance.

DENMARK - DANEMARK
Munksgaard Boghandel, Ltd., Nörregade 6,
KOBENHAVN K.

FINLAND - FINLANDE
Akateeminen Kirjakauppa, Keskuskatu 2,
HELSINKI.

FORMOSA - FORMOSE
Books and Scientific Supplies Services, Ltd.
P.O.B. 83, TAPEI.
TAIWAN.

FRANCE
Bureau des Publications de l'OCDE,
2, rue André-Pascal, PARIS (16e).
Principaux sous-dépositaires :
PARIS : Presses Universitaires de France,
49, bd Saint-Michel, 5e
Librairie de Médicis, 3, rue de Médicis, 6e
Sciences Politiques (Lib.), 30, rue Saint-Guillaume, 7e
La Documentation Française, 16, rue Lord Byron, 8e
BORDEAUX : Mollat.
GRENOBLE : Arthaud.
LILLE : Le Furet du Nord.
LYON IIe : L. Demortière.
MARSEILLE : Maupetit.
STRASBOURG : Berger-Levrault.

GERMANY - ALLEMAGNE
Deutscher Bundes-Verlag G.m.b.H.
Postfach 9380, 53 BONN.
Sub-Agents : BERLIN 62 : Elwert & Meurer.
MÜNCHEN : Hueber, HAMBURG : Reuter-Klöckner; und in den massgebenden Buchhandlungen Deutschlands.

GREECE - GRÈCE
Librairie Kauffmann, 21, rue du Stade, ATHÈNES.

ICELAND - ISLANDE
Snæbjörn Jónsson & Co., h.f., Hafnarstræti 9,
P.O. Box 1131, REYKJAVIK.

INDIA - INDE
International Book House Ltd.,
9 Ash Lane, Mahatma Gandhi Road, BOMBAY 1.
Oxford Book and Stationery Co. :
NEW DELHI, Scindia House.
CALCUTTA, 17 Park Street.

IRAQ - IRAK
Hamid Abdul Karim
Shorja Bldg, Shorja,
P.O.B. 419, BAGHDAD.

IRELAND - IRLANDE
Eason & Son, 40-41 Lower O'Connell Street,
DUBLIN.

ISRAEL
Blumstein's Bookstores Ltd.,
35 Allenby Road, and 48 Nahlath Benjamin St.,
TEL-AVIV.

ITALY - ITALIE
Libreria Commissionaria Sansoni
Via Lamarmora 45, FIRENZE.
Via Paolo Mercuri 19/B, ROMA.
Corso Cavour 93, BARI.
Sous - Dépositaires : GENOVA : Libreria Di Stefano. MILANO : Libreria Hœpli. NAPOLI : Libreria L. Cappelli. PADOVA : Libreria Zannoni. PALERMO : Libreria C. Cicala Inguaggiato. ROMA : Libreria Rizzoli, Libreria Tombolini. TORINO : Libreria Lattes.

JAPAN - JAPON
Maruzen Company Ltd.,
6 Tori-Nichome Nihonbashi, TOKYO.

KENYA
New Era Publications
Ghale House. Government Road,
P.B. 6854.
NAIROBI.

LEBANON-LIBAN
Redico
Immeuble Edison, Rue Bliss, B.P. 5641,
BEYROUTH.

LUXEMBOURG
Librairie Paul Bruck
33, Grand' Rue,
LUXEMBOURG.

MOROCCO - MAROC
Éditions La Porte, *Aux Belles Images*.
281, avenue Mohammed V, RABAT.

THE NETHERLANDS - PAYS-BAS
Wholesale Agent : Meulenhoff & Co., N.V. Importeurs, Beulingstraat, 2, AMSTERDAM C.
Principal Retailer : W.P. Van Stockum & Zoon, Buitenhof 36, DEN HAAG.

NEW ZEALAND - NOUVELLE ZÉLANDE
Government Printing Office,
20 Molesworth Street (Private Bag), WELLINGTON
and Government Bookshops at
Auckland (P.O.B. 5344)
Christchurch (P.O.B. 1721)
Dunedin (P.O.B. 1104).

NORWAY - NORVÈGE
A/S Bokhjornet, Lille Grensen 7, OSLO.

PAKISTAN
Mirza Book Agency, 65, The Mall, LAHORE 3.

PORTUGAL
Livraria Portugal, Rua do Carmo 70, LISBOA.

SOUTH AFRICA - AFRIQUE DU SUD
Van Schaik's Book Store Ltd.,
Church Street, PRETORIA.

SPAIN - ESPAGNE
Mundi Prensa, Castelló 37, MADRID.
Libreria Bastinos de José Bosch, Pelayo 52,
BARCELONA 1.

SWEDEN - SUÈDE
Fritzes, Kungl. Hovbokhandel,
Fredsgatan 2, STOCKHOLM 16.

SWITZERLAND - SUISSE
Librairie Payot, 6, rue Grenus, 1211 GENÈVE, 11 et à LAUSANNE, NEUCHATEL, VEVEY, MONTREUX, BERNE, BALE et ZURICH.

TURKEY - TURQUIE
Librairie Hachette, 469 Istiklal Caddesi, Beyoglu,
ISTANBUL et 12 Ziya Gökalp Caddesi, ANKARA.

UNITED KINGDOM ROYAUME-UNI
H.M. Stationery Office, P.O. Box 569, LONDON, S.E.I.
Branches at : EDINBURGH, BIRMINGHAM, BRISTOL, MANCHESTER, CARDIFF, BELFAST.

UNITED STATES OF AMERICA
Mc Graw - Hill Book Company, OECD-Unit,
TMIS Annex, 351 West 41st Street,
NEW YORK 36, N.Y.

YUGOSLAVIA - YOUGOSLAVIE
Jugoslovenska Knjiga, Marsala Tita, 23, P.O.B. 36,
BEOGRAD.

Les commandes provenant de pays où l'OCDE n'a pas encore désigné de dépositaire peuvent être adressées à :
OCDE, Bureau des Publications, 2, rue André-Pascal, Paris (16e).
Orders and inquiries from countries where sales agents have not yet been appointed may be sent to
OECD, Publications Office, 2, rue André-Pascal, Paris (16e).

OECD PUBLICATIONS, 2, rue André-Pascal, Paris XVIe. No. 19.887. January 1966.
PRINTED IN FRANCE

ECONOMIC SURVEYS

Each year the OECD publishes a series of economic surveys by Member countries.

The series for **1965-1966** will include surveys on the following countries (those marked * have already been issued).

AUSTRIA
BELGIUM AND LUXEMBOURG
CANADA*
DENMARK
FRANCE
GERMANY *
GREECE
ICELAND *
IRELAND
ITALY
JAPAN *
NETHERLANDS
NORWAY
PORTUGAL
Socialist Federal Republic of YUGOSLAVIA
SPAIN
SWEDEN
SWITZERLAND
TURKEY
UNITED KINGDOM
UNITED STATES*

	£ s.	U.S. $	F	Sw. F.	DM
Price for each issue :	*—5*	*0.80*	*3*	*3*	*2.50*
Subscription price for series :	*3.3*	*10.*	*42*	*42*	*35*

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT